

NZ business feedback on recent oil price moves and related disruptions

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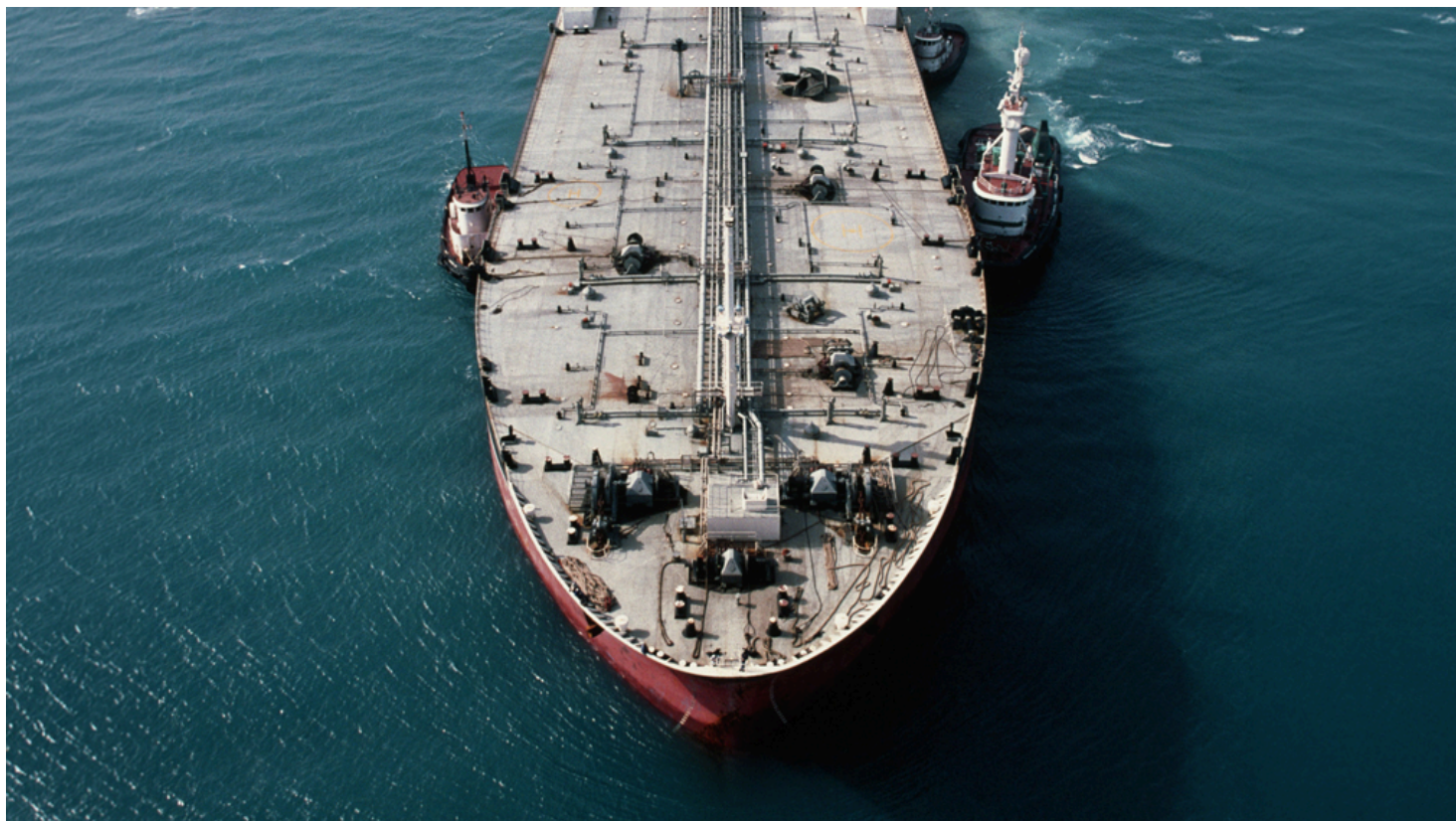
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New Zealand businesses have reported significant disruptions stemming from the Middle East conflict and related rise in oil prices.



Our latest round of talks with businesses around the country took place in the shadow of the Middle East war. Prior to that conflict, we were seeing signs of a firming in economic activity. However, much of that momentum has now been derailed. The past month has seen a stark rise in cost pressures and uncertainty. The impacts of those developments are extending well beyond transport costs, resulting in softer demand, concerns about supply security and increased economic uncertainty. That's on top of the broader pressure on operating costs, prices and margins.

We'll release our full Regional Roundup summarising feedback from around the country next week. Ahead of that, we've summarised the feedback we received from customers around country related to the rise in oil prices and the related impacts on activity below. The feedback we've received in our recent discussions highlights how pronounced the related disruptions are.

- The impact of fuel price rises is widespread. Transport services, construction materials, forestry, agriculture and food processors are among those reporting sharply higher diesel and bunker fuel costs. However, pricing agreements are often complex. And combined with soft demand in many cases, that's limiting the ability to pass cost increases through to customers for now.
- Supply chain risk has escalated materially. Disruptions linked to the Middle East conflict have impacted insured shipping capacity, rather than physical fuel availability. In addition, the closure of the Strait of Hormuz has disrupted the global transport of fertilizer. While this has not materially affected fertilizer supplies in New Zealand, there have been related increases in prices for some products. Similar concerns are emerging in relation to meat exports, feed imports and log shipping, where two way freight economics are breaking down.
- Forestry stands out as particularly vulnerable. Many operators expect harvesting to slow sharply, especially among small to medium crews, as higher diesel, freight and shipping costs make harvesting uneconomic. This has flow on implications for ports, shipping, logistics, and regional employment.
- Cost pass through is uneven and often incomplete. Fuel-related freight surcharges, increased fuel adjustment factors, and urgent price increases by suppliers are being implemented. In many cases businesses report that this is flowing straight through to pressure on margins, rather than output prices. Transport operators are beginning staged recovery plans, but acknowledge that sustained diesel price rises are unsustainable.
- Demand side impacts are becoming more visible. Tourism businesses report cancellations and growing concern over fuel driven airfare and travel cost increases. In regions like Otago that have benefited from the recovery in international tourism, this is raising concerns about the strength of arrivals over the coming months. Locally, retailers and discretionary sectors worry fuel inflation will further constrain household spending, with sectors like restaurants already reporting a drop in sales.
- Confidence has taken a knock. Even where physical fuel supply remains adequate, uncertainty over shipping, insurance, currency depreciation and duration of disruption is driving conservative behaviour: delayed orders, reduced production, inventory planning for worst case scenarios, and a sharp focus on cash preservation. Many businesses now view fuel not just as a cost risk, but as a potential constraint on economic activity if elevated prices persist.

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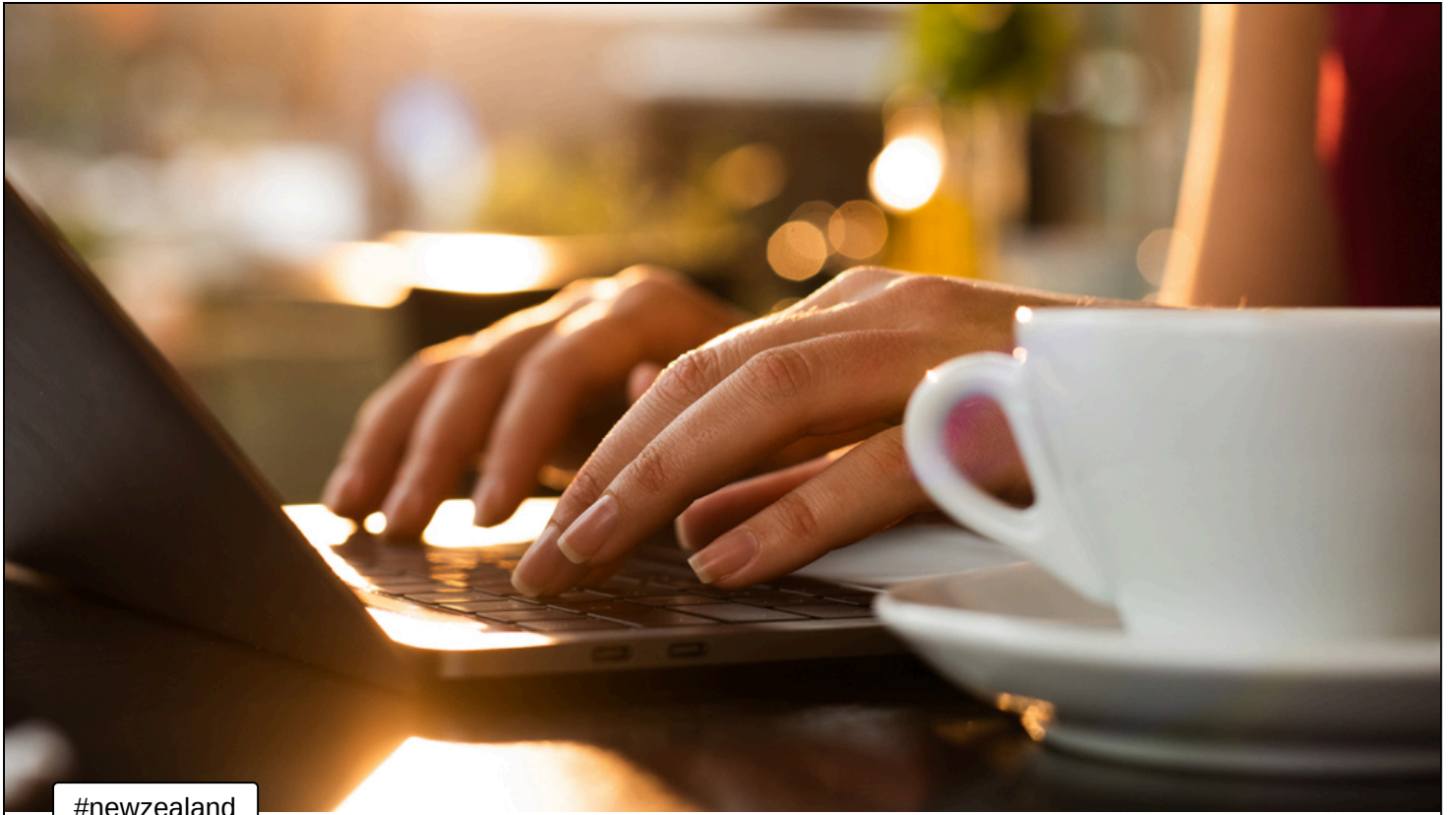
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